

mining companies a proper distinction must be drawn between those which do and those which do not deduct their depletion charges in reporting their earnings. Following are some examples of companies that pursue one or the other policy:

Companies That Report Earnings
without Deduction for Depletion:

Alaska Juneau Gold Mining Co.
Anaconda Copper Mining Co.
Dome Mines, Ltd. (gold)
Kennecott Copper Corp.
Noranda Mines, Ltd. (copper and gold)
Texas Gulf Sulphur Co.

Companies That Report Earnings
after Deduction for Depletion:

Cerro de Pasco Copper Corp.
Granby Consolidated Mining, etc., Co. (copper)
Homestake Mining Co. (gold)
International Nickel Co. of Canada, Ltd.
Patino Mines, etc. (tin)
Phelps Dodge Corp. (copper)
St. Joseph Lead Co.

Depletion and Similar Charges in the Oil Industry. In the oil industry depletion charges are more closely related to the actual cost of doing business than in the case of mining enterprises. The latter ordinarily invest in a single property or group of properties, the cost of which is then written off over a fairly long period of years. But the typical large oil producer normally spends substantial sums each year on new leases and new wells. These additional holdings are needed to make up for the shrinkage of reserves through production. The depletion charge corresponds in some measure, therefore, to a current cash outlay for the purpose of maintaining reserves and production. New wells may yield as high as 80% of their total output during the first year. Hence nearly all the cost of such “flush production” must be written off in a single fiscal period, and most of the “earnings” from this source are in reality a return of the capital expended thereon. If the investment is not written off rapidly through depletion and other charges, the profit and the value of the property account will both be grossly overstated. In the case of an oil company actively engaged in development work, the various headings under which write-offs must be made include the following:

1. *Depreciation* of tangible assets.
2. *Depletion* of oil and gas reserves, based upon the cost of the leases.
3. *Unprofitable leases* written off. Part of the acquisitions and exploration will always prove totally valueless and must be charged against the revenue from the productive leases.